

Games Business



Image sources: <https://www.gamepur.com/guides/the-10-best-rich-roblox-avatar-designs-how-to-make-your-roblox-avatar-look-rich>

Games Business

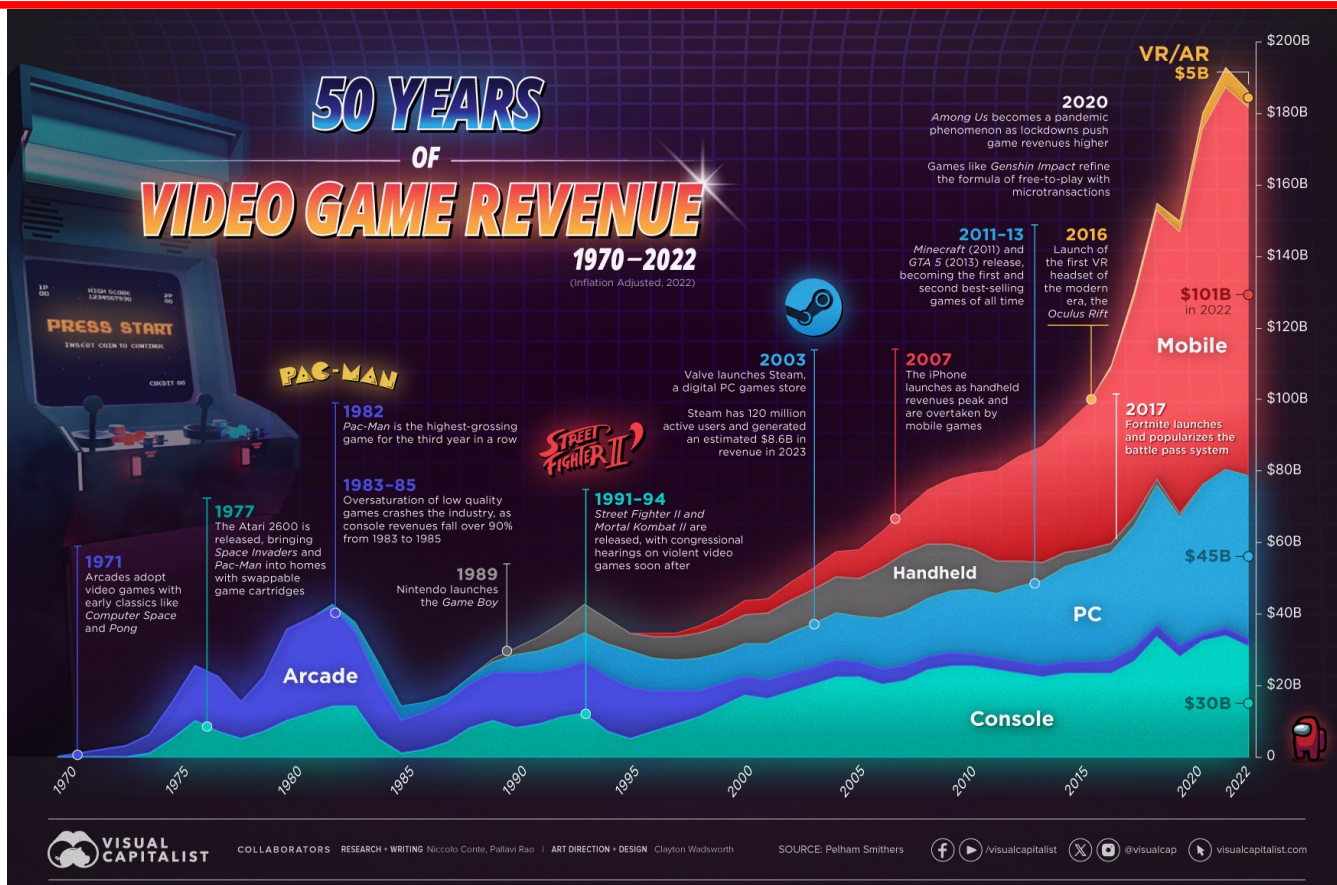


Image sources: <https://www.visualcapitalist.com/wp-content/uploads/2023/12/50-Years-of-Video-Game-Revenue-Dec-31.jpg>

Games Business

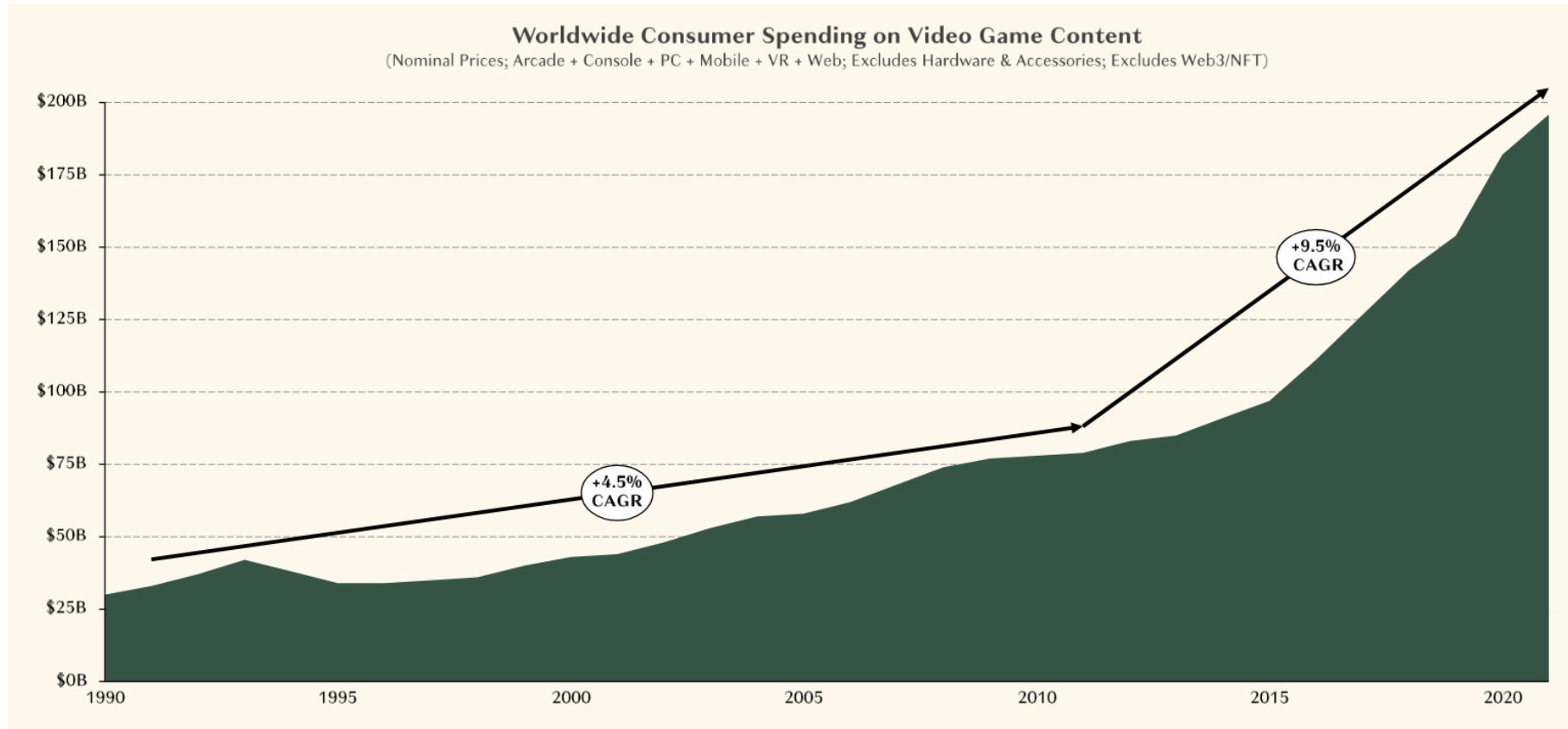


Image sources: <https://www.matthewball.co/all/stateofvideogaming2025>

German games market since 1995



Entwicklung des deutschen Games-Marktes seit 1995

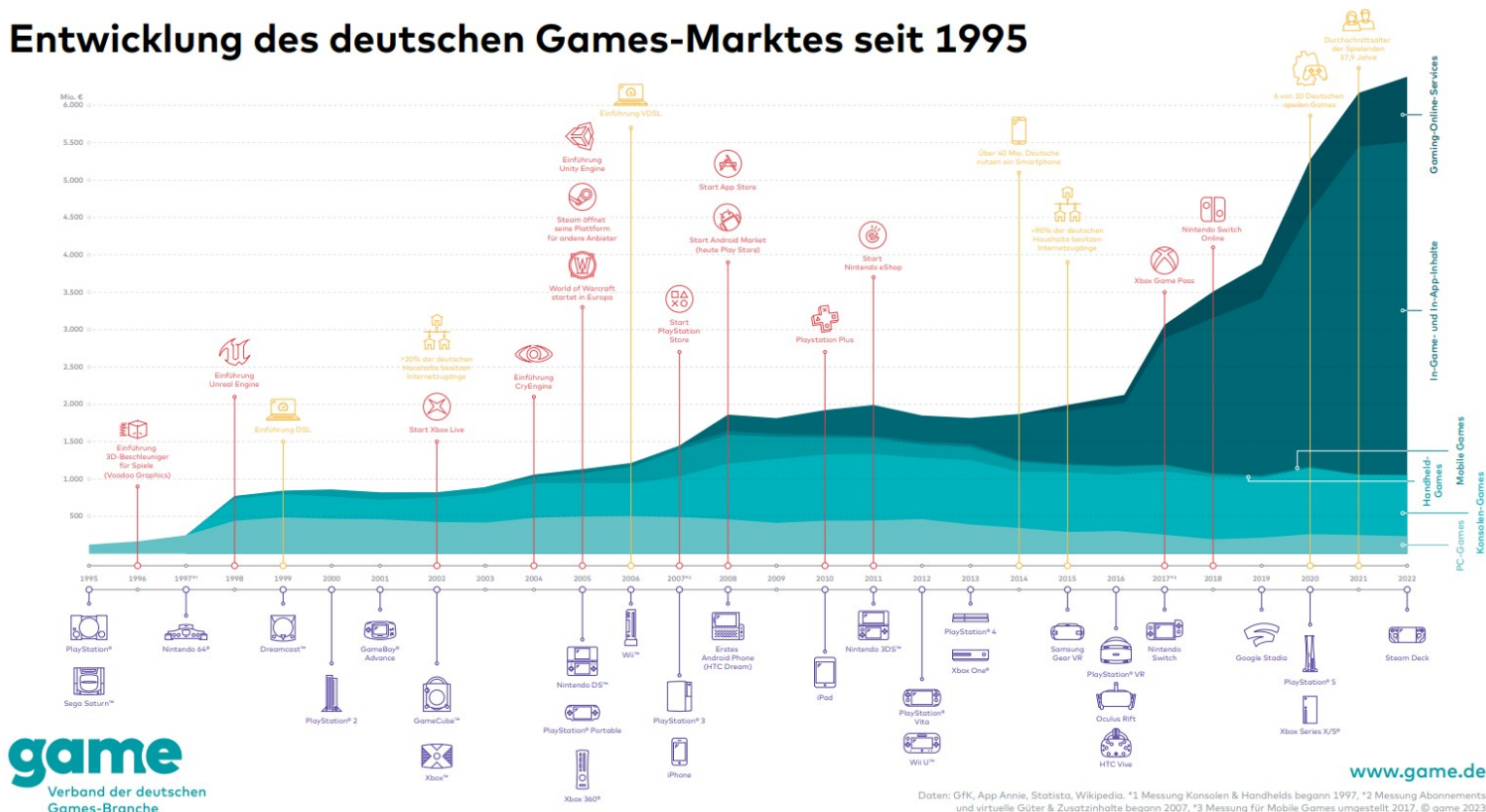


Image sources: <https://www.game.de/marktdaten/entwicklung-des-deutschen-games-marktes-seit-1995-2/>

Info graphics German games-market 2023



•Full version:

–<https://www.game.de/marktdaten/infografik-deutscher-games-markt-2023/>

So ticken Gamerinnen und Gamer in Deutschland

7 von 10

Spielerinnen und Spielern finden, dass es eine **Stärke von Games** ist, dass alle mitmachen können – unabhängig von körperlichen Einschränkungen.



Knapp jeder und jede zweite Spielende findet, dass Games bei Themen wie **mentaler Gesundheit und Achtsamkeit** helfen können.



Rund zwei Drittel

der Spielenden sagen, dass **Fähigkeiten aus Games** wie strategisches Denken auch in der Arbeitswelt wichtig sind.



Rund 8,2 Mio. Gamerinnen und Gamer in Deutschland zählen sich zu **Menschen mit Behinderung**.



Rund 14 Prozent von ihnen nutzen spezielle Eingabegeräte zum Spielen.

So vielfältig sind die Spielerinnen und Spieler in Deutschland

48% der Spielenden sind weiblich



37,9 Jahre sind Spielende im Durchschnitt alt



58% der 6- bis 69-Jährigen spielen Games

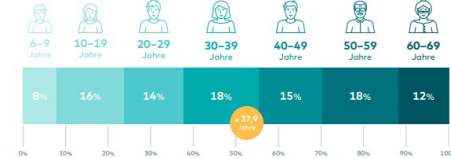


78% der Spielenden sind mindestens 18 Jahre alt



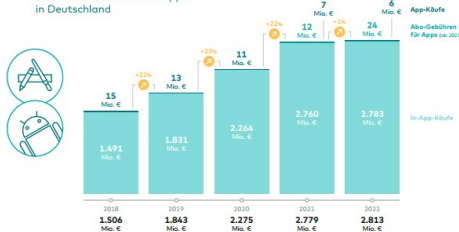
Rund 6 von 10 Deutschen spielen Games

Spielerinnen und Spieler, die mindestens gelegentlich spielen



Markt für Spiele-Apps in Deutschland wächst um ein weiteres Prozent

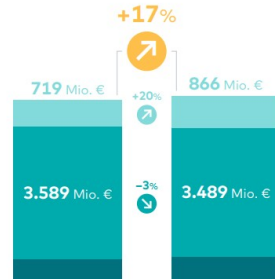
Umsätze mit App- und In-App-Käufen sowie Abo-Gebühren für Apps in Deutschland



Umsatz mit Games-Hardware



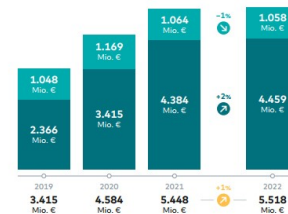
Deutscher Games-Markt 2022 mit weiterem Umsatzsprung



Gebühren für Online-Dienste, Cloud-, Online- und Abonnement-Services

Games-Hardware: Konsolen, Gaming-PCs und Zubehör

Umsatz mit Computer- und Videospielen übertrifft hohes Vorjahresniveau leicht



Game-Käufe: Video- und Computerspiele auf Datenträgern und Downloads

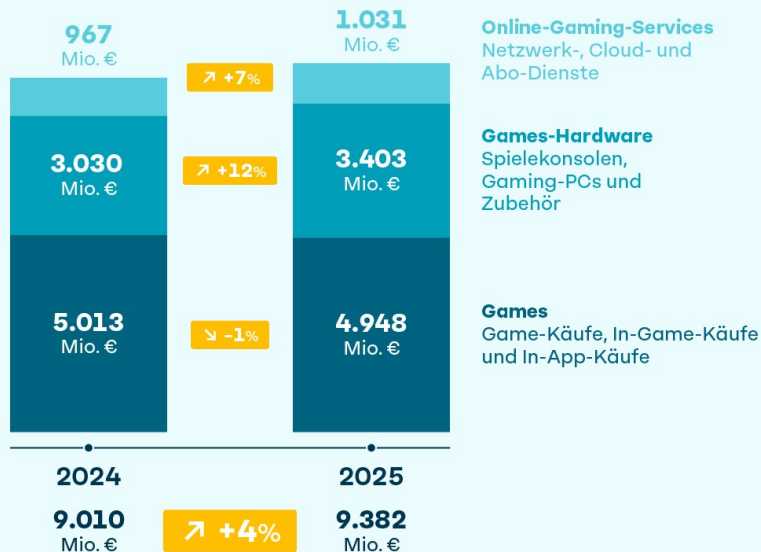
In-Game- und In-App-Käufe: Zusatzangebote für Games und Abo-Gebühren für einzelne Online-Games

Umsatz mit Gaming-Online-Services





Deutscher Games-Markt wächst 2025 um 4 Prozent

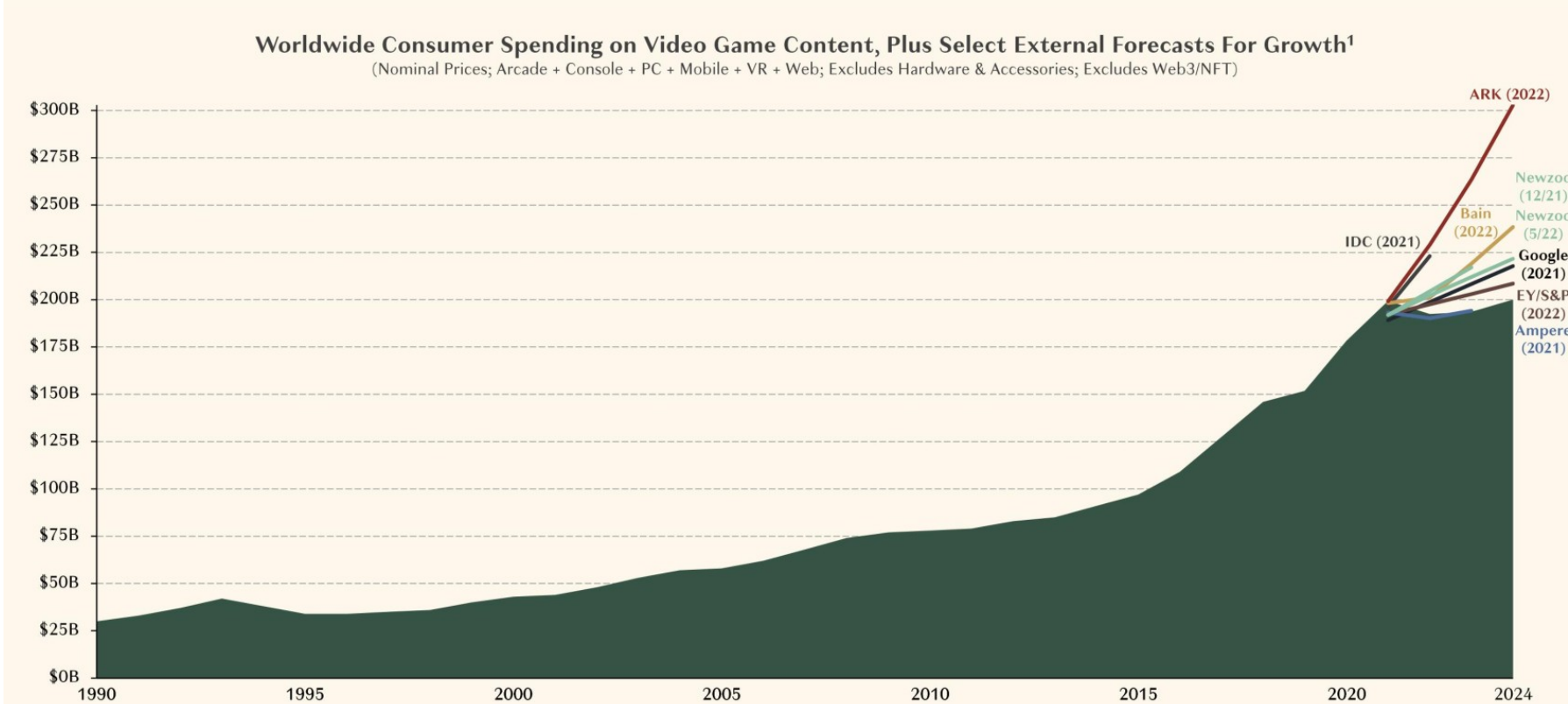


game
Verband der deutschen
Games-Branche

www.game.de

Quelle: Berechnungen auf Basis von YouGov Shopper (2024; n=25.000), Sensor Tower und Nielsen IQ. Aufgrund von methodischen Anpassungen seitens der Dienstleister weichen die Zahlen für In-App-Käufe und Gaming-PCs von zuvor veröffentlichten Werten ab. © game 2024

Worldwide Consumer Spending on Video Game Content



¹Forecasts that did not include AR/VR or arcade are normalized; different reporting values in 2021 reflects different estimates for 2021 at the time of forecast

Sources: Pelham Smithers / Bloomberg, IDG, Newzoo, Meta, IDC, ARK, Bain, Google, E&Y, Ampere, Epyllion analysis

Image Source: <https://www.matthewball.co/all/stateofvideogaming2025>

Books vs Music vs Video

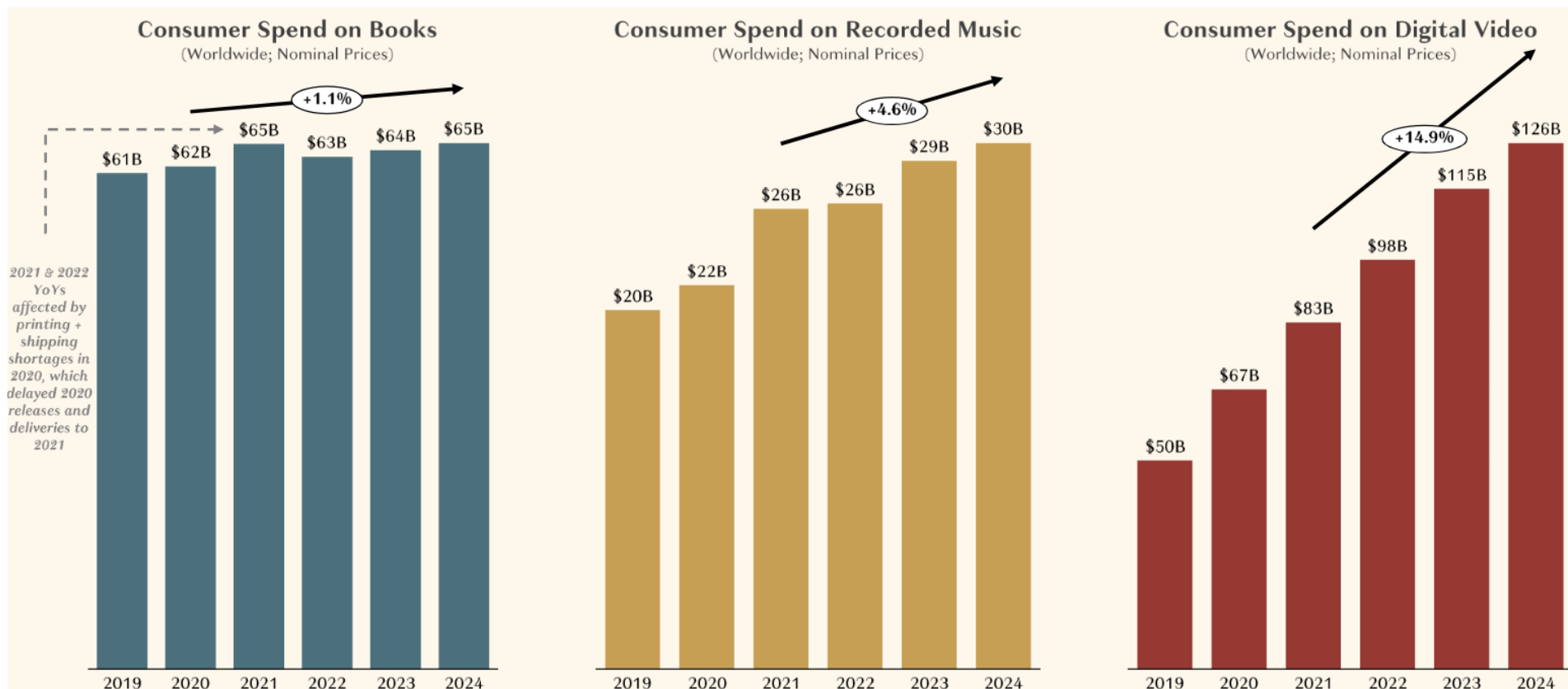


Image Source: <https://www.matthewball.co/all/stateofvideogaming2025>

Global pandemic impact on games industry

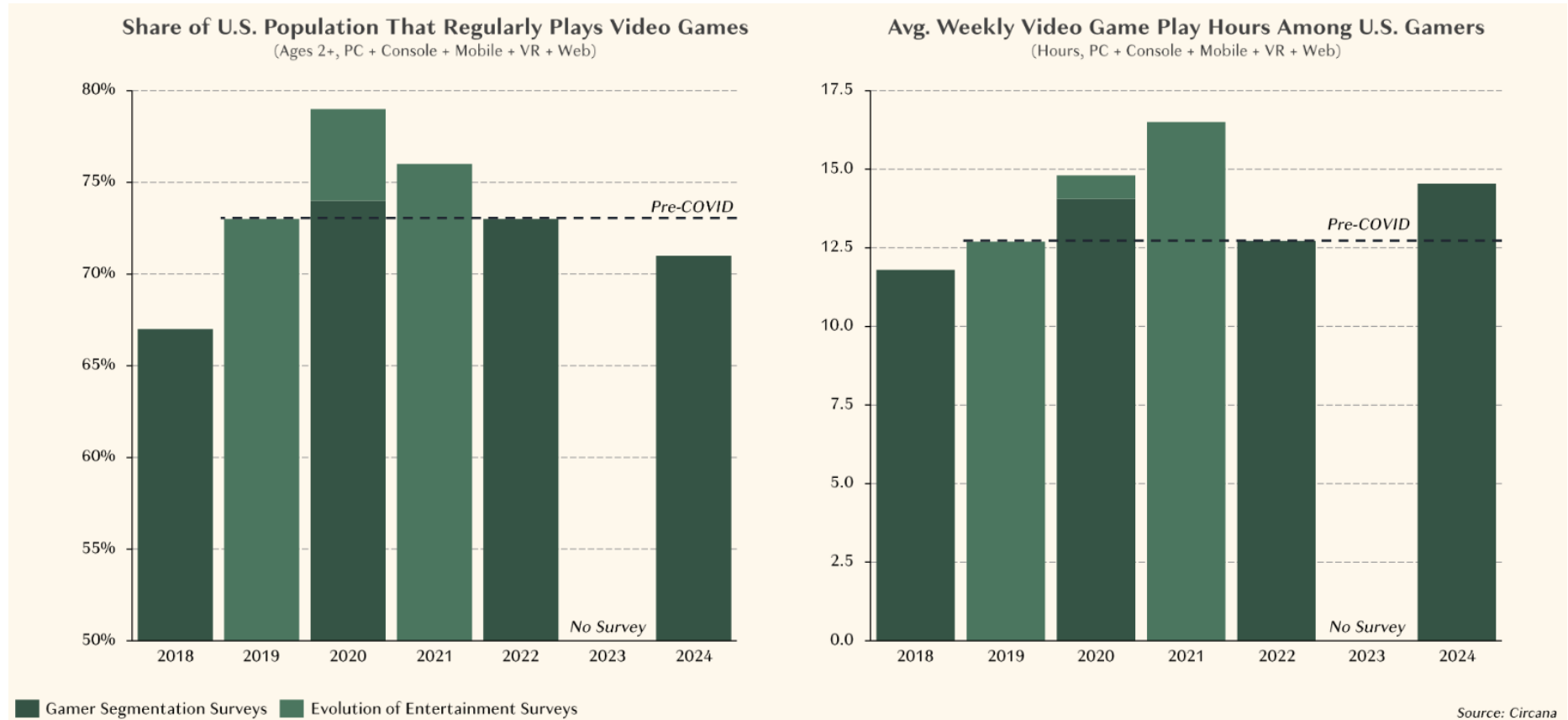


Image Source: <https://www.matthewball.co/all/stateofvideogaming2025>

Gaming stocks

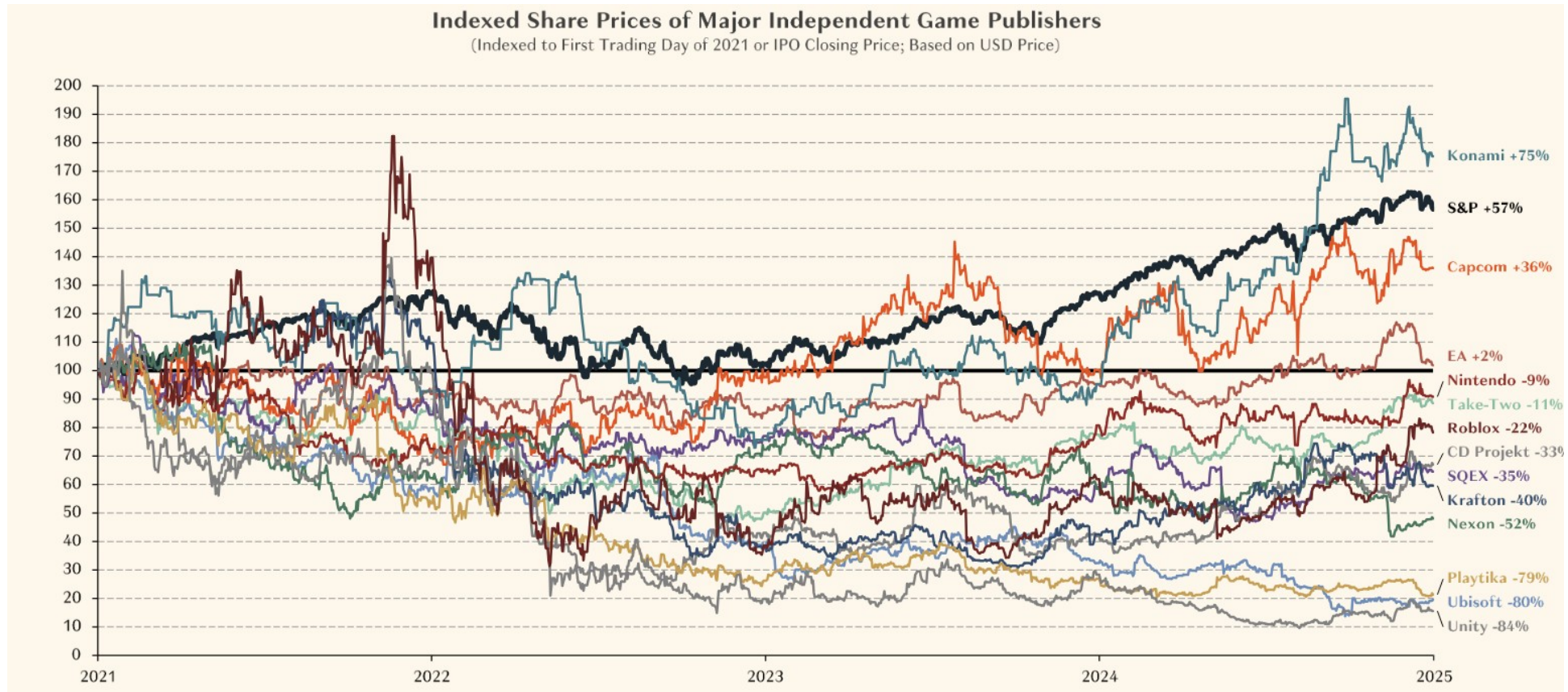


Image Source: <https://www.matthewball.co/all/stateofvideogaming2025>

Gaming stocks

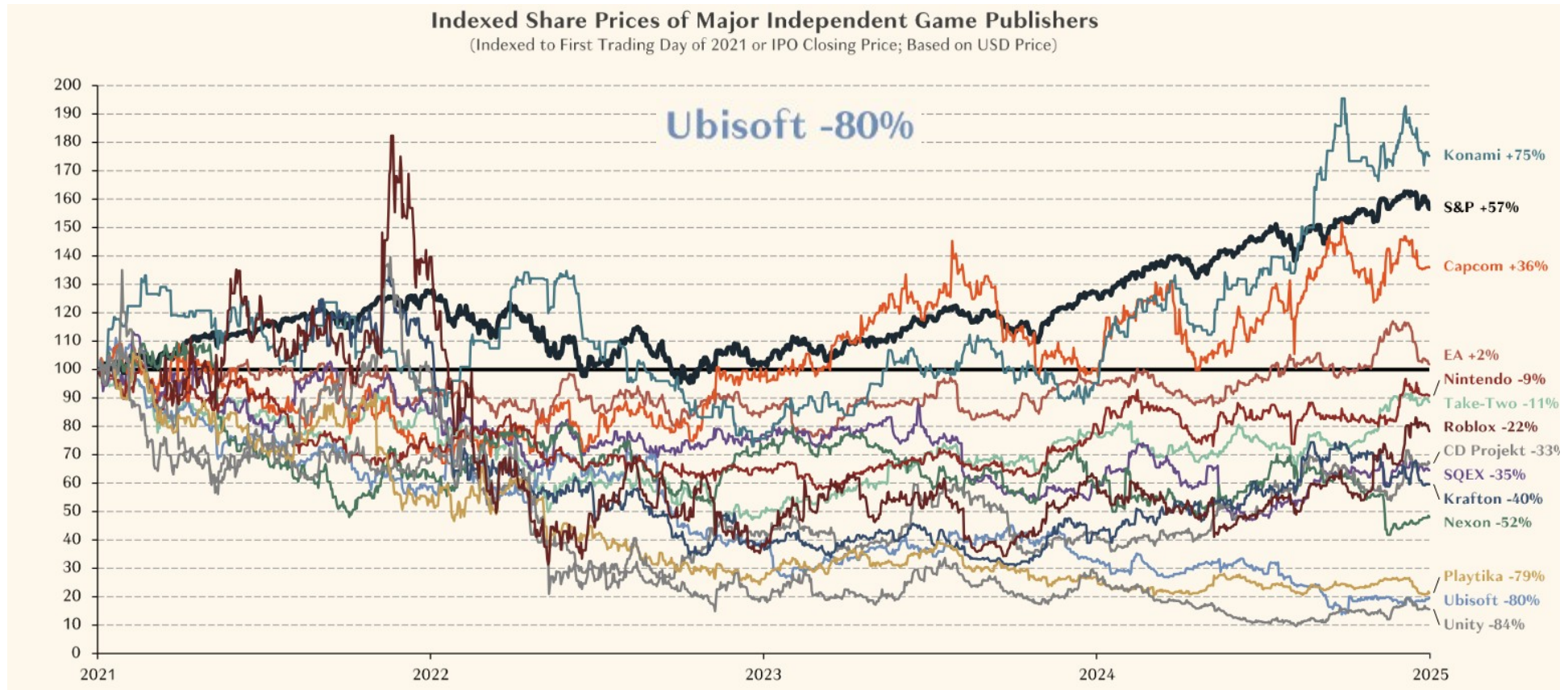


Image Source: <https://www.matthewball.co/all/stateofvideogaming2025>

Gaming stocks



Indexed Share Prices of Major Independent Game Publishers
(Indexed to First Trading Day of 2021 or IPO Closing Price; Based on USD Price)

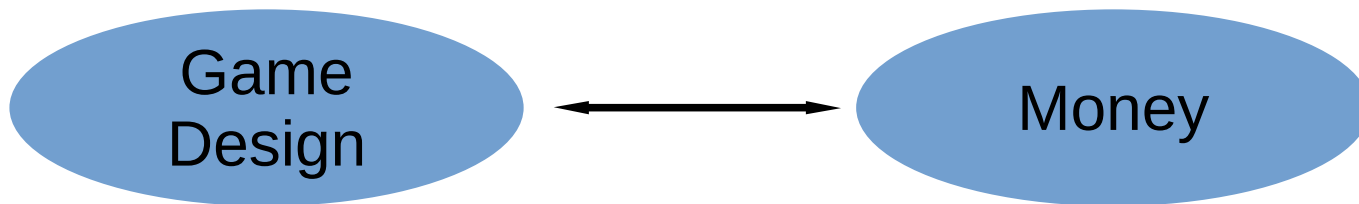


Image Source: <https://www.matthewball.co/all/stateofvideogaming2025>

It's all about the money...



- Money is the fuel that drives the game industry
- Budget is the only limiting factor..
 - > More people + more time = better game?!
- Games need to be financed in advance
 - e.g. Publisher, Crowd Funding, etc..
- The people in charge of the money are most likely not the people who design the game
 - The one with the gold makes the rules!
 - Often leads to questionable design choices
 - Game design and money are inter-dependent
 - Financial decisions affect the game design



Business Models and Monetization



- Retail
- Digital Distribution
- Downloadable Content
- Pre-Order Bonuses
- Subscription Models
- Free To Play
- Early Access
- Crowdfunding



<https://www.youtube.com/watch?v=qX3xW6nO4zw>

Retail



- Cash flow (exemplary)

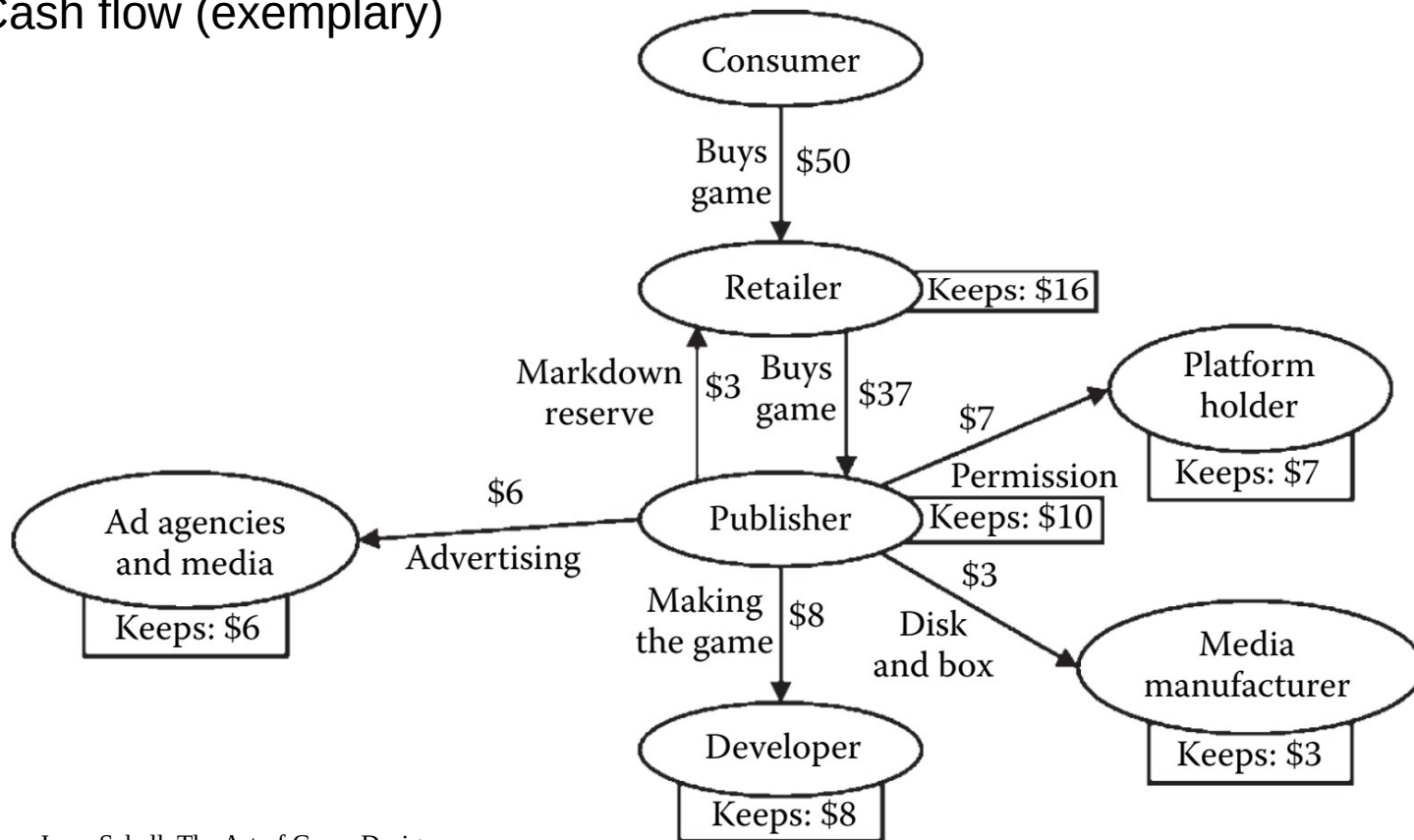


Image sources: Jesse Schell, The Art of Game Design

Retail - questions



- What is a platform holder?
 - The companies making consoles (Nintendo, Sony, Microsoft)
 - They often lose money selling the consoles (selling them below cost)
 - They are “taxing” the publishers for each title made
- Why does the retailer take so much?
 - Low-margin business with high fixed costs
- Why does the publisher take so much?
 - They take care of all the the coordination
 - They are the ones losing money if the game isn't successful
 - Retailers make them buy back unsold titles
- What is a markdown reserve?
 - Eventually, the title will be marked down, sold at a lower price
 - The retailer makes the publisher absorb some of the loss

Retail - important terms



- Units Sold
 - Units sold equals success
 - Publishers will estimate numbers from similar games
- Break-Even
 - How many units have to be sold before the publisher makes back the money they put into the game?

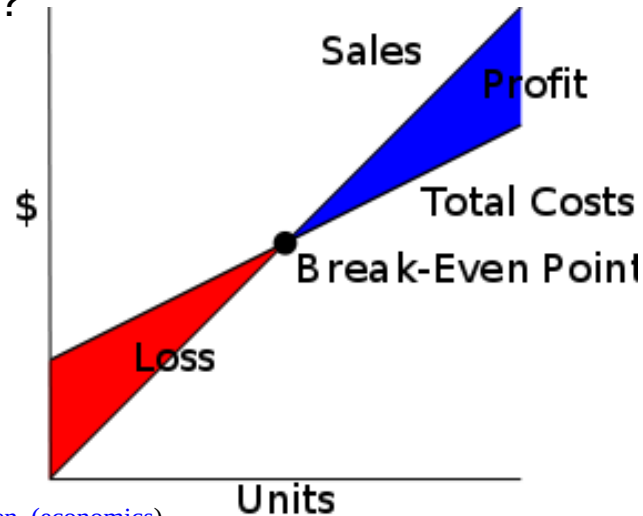


Image sources: [https://en.wikipedia.org/wiki/Break-even_\(economics\)](https://en.wikipedia.org/wiki/Break-even_(economics))

Some financial terms

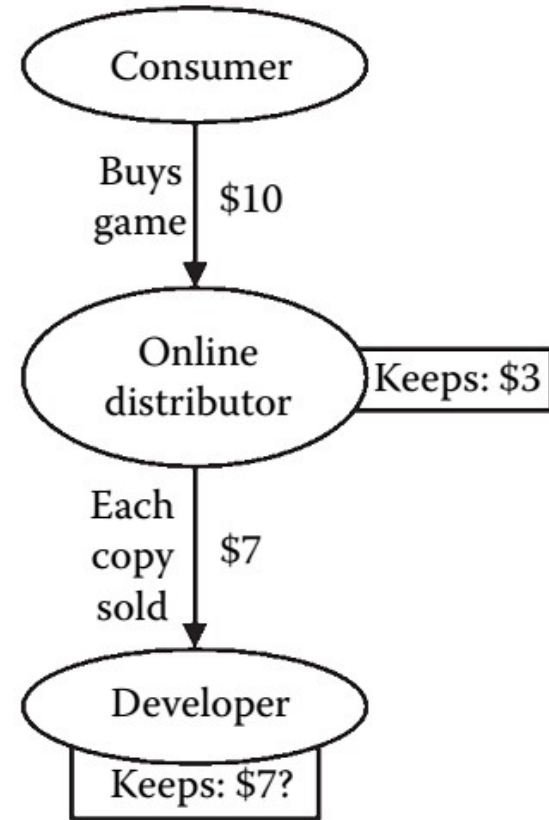


- SKU (Stock Keeping Unit)
 - Unique inventory item for a store
 - Same game might come out as many SKUs
- COGS (Cost of Goods Sold)
 - Cost per unit to make the game
- Burn rate
 - Cost per month to keep the studio open (salaries, rent, etc.)
- Sold in / Sold through
 - Retailer buys from the publisher: sold in
 - Customer buys a game: sold through
 - Do not confuse these two!
- NPV (Net Present Value)
 - Worth in the future taking the “discount rate” into account

Digital Distribution



- Direct download, directly to the consumer
 - Steam, GOG, PlayStation Store, Xbox Live...
- Bypasses conventional physical distribution methods, such as paper or DVDs
- The term online distribution is typically applied to freestanding products (not to be confused with downloadable content)
- Content delivery networks help distribute digital content over the internet (or using peer-to-peer)
- Potentially minimum business overhead
- Often leads to cheaper goods for the consumer, increased profits for the artists, as well as increased artistic freedom
- Online distribution platforms often contain or act as a form of digital rights management



Quiz



•What were the best selling games of 2022?

Germany

1. FIFA 23 (Electronic Arts)
2. Pokemon Legends: Arceus (Nintendo)
3. Elden Ring (Bandai Namco)
4. Call of Duty: Modern Warfare II (Activision Blizzard)
5. LEGO Star Wars: The Skywalker Saga (Warner Bros. Interactive)
6. Gran Turismo Sport (Sony Interactive Entertainment)
7. Nintendo Switch Sports (Nintendo)
8. Horizon Forbidden West (Sony Interactive Entertainment)
9. Kirby and the Forgotten Land (Nintendo)
10. God of War: Ragnarok (Sony Interactive Entertainment)

USA

- Call of Duty: Modern Warfare 2 (2022) (Activision Blizzard)
- Elden Ring (Bandai Namco Entertainment)
- Madden NFL 23 (Electronic Arts)
- God of War: Ragnarök (Sony)
- LEGO Star Wars: The Skywalker Saga (Warner Bros. Interactive)
- Pokémon: Scarlet/Violet* (Nintendo)
- FIFA 23 (Electronic Arts)
- Pokémon Legends: Arceus* (Nintendo)
- Horizon II: Forbidden West (Sony))
- MLB: The Show 22^ (Multiple Video Game Manufacturers)

Japan

1. Pokémon Scarlet/Violet (Switch) – 4,338,931
2. Splatoon 3 (Switch) – 3,687,814
3. Pokemon Legends: Arceus (Switch) – 2,314,806
4. Kirby and the Forgotten Land (Switch) – 969,047
5. Nintendo Switch Sports (Switch) – 887,722
6. Mario Kart 8 Deluxe (Switch) – 742,018 in 2022
7. Minecraft (Switch) – 548,415 (total 2,960,006)
8. Mario Party Superstars (Switch) – 485,594 (total 1,114,132)
9. Super Smash Bros. Ultimate (Switch) – 441,053 (total 5,065,191)
10. Elden Ring (PS4) – 356,711

Image sources: <https://nintendoeverything.com/germanys-top-20-best-selling-games-of-2022/>, <https://www.statista.com/statistics/1285658/top-ranked-video-games-sales-annual/>, <https://www.frontlinejp.net/2023/02/02/top-100-best-selling-games-in-japan-2022/>

DLC (DownLoadable Content)



- Official additional content for a game distributed through the internet
- Can be of several types, ranging from a single in-game outfit to an entirely new extensive storyline, similar to an expansion pack
 - Additional levels, outfits, songs, chapters, characters, etc.
- Day one DLC controversy..
 - Parts of the games are cut out and sold separately from day one
 - Games eventually come with download codes for these DLCs
 - Actively weakening the second market (used games)
 - Disc-locked content (not even real DLC...)
- Games are often re-released as special editions including all DLC
- Overpriced DLC
 - Horse Armor: \$2.50
 - New costumes: \$20



Image sources: <https://www.engadget.com/2009/02/01/bethesda-ranks-oblivion-dlc-horse-armor-still-selling/>, <https://venturebeat.com/2016/04/26/fallout-4-finally-gets-full-modding-support-and-horse-armor-on-pc/>

DLC (DownLoadable Content)



Vampire: The Masquerade – Bloodlines 2 **Brings Back Horrors Of Paid Day-One DLC**

You'll need to pay half as much again to play the entire RPG when it launches

Day-One DLC

Paradox

The Chinese Room

Vampire: The Masquerade – Bloodlines 2

By **John Walker** Published August 20, 2025



A vampire stares into camera. © Paradox

Vampire: The Masquerade – Bloodlines 2 has been through a hell of a journey to reach us. At last night's Opening Night Live from Gamescom,

LATEST

Budget-Friendly Mac Mini Alternative, This Windows 11 Pro Mini PC Selling for...

11/3/2025, 8:32 pm



HP 17-inch Laptop with Ryzen 5 Nearly Free (71% Off), Amazon Clearing Sto...

11/3/2025, 8:16 pm



Apple's Official Partner Selling Off 24,000mAh Power Bank, Now Going fo...

11/3/2025, 7:44 pm



iPads Meet Real Competition, Amazon's Fire Max 11 Now Selling for...

11/3/2025, 7:05 pm



REVIEWS

This New Controller Is Really Good But Broke My Brain



Image sources: <https://kotaku.com/vampire-the-masquerade-bloodlines-2-day-1-dlc-clans-2000618832>

Pre-Order Bonuses



- A pre-order is an order placed for an item which has not yet been released.
 - Guarantee to get a physical copy (especially special or limited editions)
 - Potentially earlier access (pre-loading, day 0 shipment, ...)
 - Pre-order incentives (aka pre-order bonuses) try to encourage the buyers to pre-order
- Publishers wish to ensure strong initial sales for a product
 - The first two weeks are the most important for AAA games
 - Bonuses may be bound to a certain retailer (e.g. Steam, Game Stop, ...)
 - Controversy in gaming
- Review Embargoes: consumers don't know what they will get
 - DLC as pre-order incentive (exclusive content, overpriced, ...)
 - Examples of “worst offenders”:
 - Deus Ex: Mankind Divided: "augmented" pre-orders program
 - Final release: One-time-use consumable items (e.g. Praxis Points, Grenades, etc.)
 - No Man's Sky: Slightly better starting ship or gun, starting cash

Pre-Order Bonuses



	Midnight Base Edition €4999	Midnight Heroic Edition €6999	Midnight Epic Edition €8999
	Pre-purchase	Pre-purchase	Pre-purchase
 World of Warcraft: Midnight ¹	✓	✓	✓
 World of Warcraft: The War Within ²	✓	✓	✓
 Enhanced Level 80 Character Boost	✓	✓	✓
 Housing Early Access ³	✓	✓	✓
 Trader's Tender	500	1000	2000
 Lightwing Dragonhawk (Flying Mount)		✓	✓
 Lightstrider Raiment (Transmog Set)		✓	✓
 Midnight Beta Access ³			✓
 3-Days Midnight Early Access ³			✓

Image sources: Screenshot taken on Battle.net Client

Pre-Order Bonuses

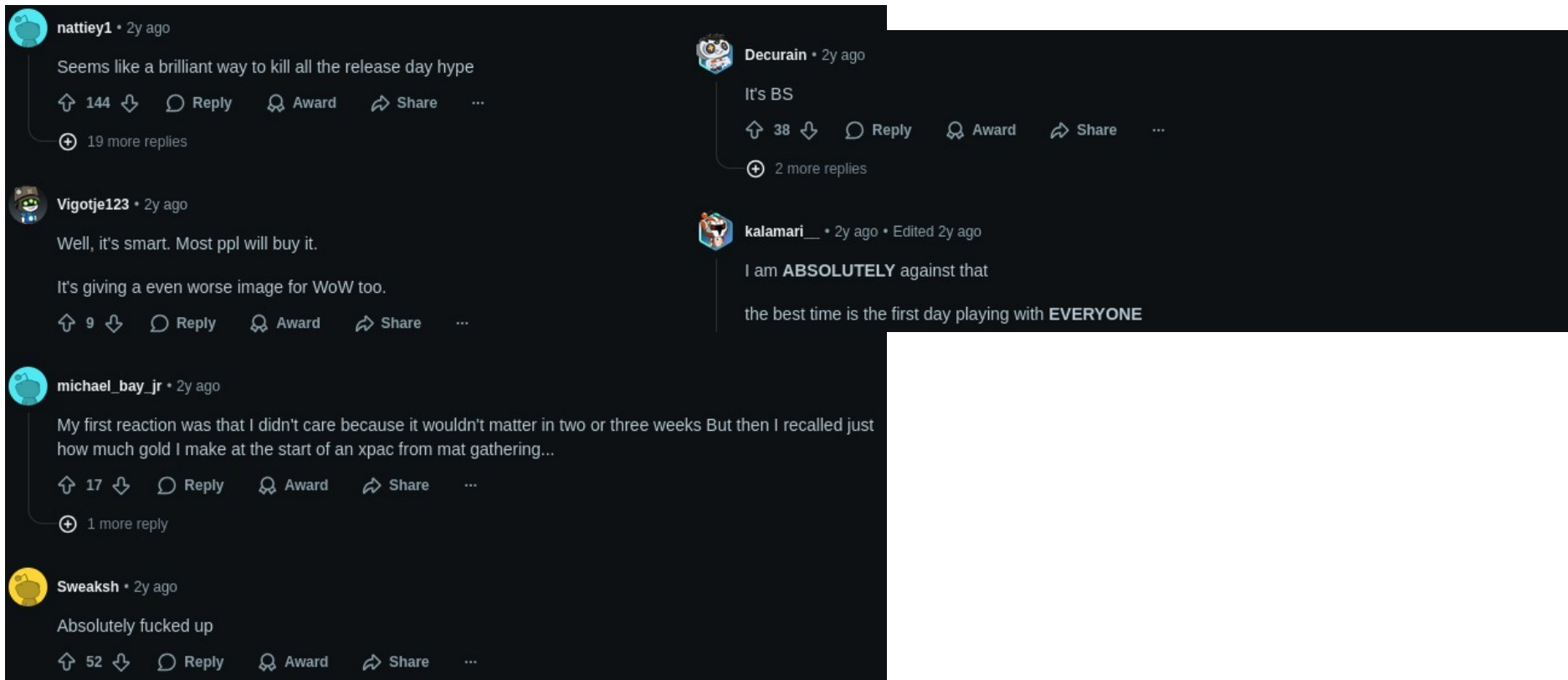
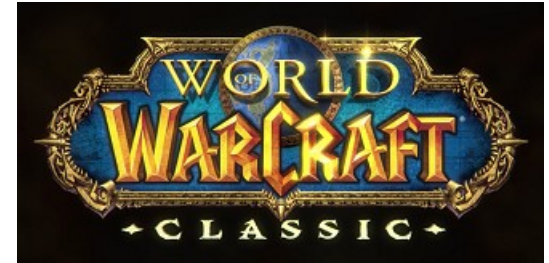


Image sources: https://www.reddit.com/r/wow/comments/17n3o1v/how_do_you_guys_feel_about_the_3_day_early_access/

Subscription Models (pay to play)



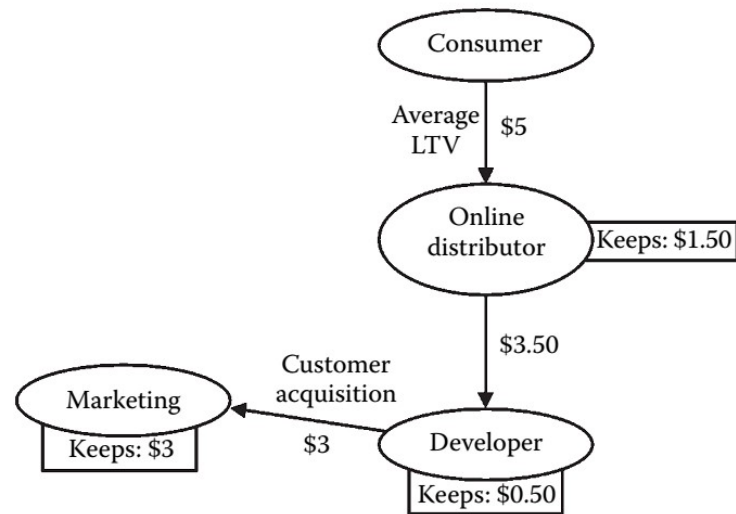
- Customer must pay a subscription price to play the game
 - Pioneered by magazines and newspapers
 - Now used by websites, television, music sales, fitness clubs, telephone companies,...
- Also used by cloud gaming services like Xbox Cloud Gaming/Gamepass
 - Customers have to pay whether they consume the content or not
 - Pay-to-play games usually offer equal gaming experience for all players
- Common for MMOGs (WoW, FFXIV, STOW..)



Free To Play (aka F2P) (1/2)



- Any video game that has the option to play without paying
 - Free-to-play games often offer a better gaming experience for players who pay
- Methods of creating revenue:
 - In-Game purchases: charging money for certain items
 - Vanity items: purely cosmetic (e.g. League/CS2 (well sort of))
 - Power items: enhance the power of the player
 - Booster items: accelerate progression speed
 - In-Game advertising: integrating advertisements into the game
 - Shift from the traditional retail model to micro-transactions
- Success is no longer measured in sold units
- Criticism
 - Unfairness in multiplayer-games (who pays more wins...)
 - Exploitation of people's addictive tendencies (gambling, loot boxes, etc.)



Free To Play (aka F2P) (2/2)



- Controversy: F2P elements in AAA full-price games
 - At the same time the price for these games is now around 70 US\$ (instead of 60 US\$ before)
- E.g.: “FIFA Ultimate Team Revenue In FY 2021 – \$1.62B; 53% Of EA's Total Extra Content Revenue”

Image sources: <https://www.gamestar.de/artikel/nba-2k19-2k-wirft-sich-mit-pay2win-und-cheatern-einen-eigenkorb,3335063,seite2.html>, <https://www.kotaku.com.au/2020/12/ubisoft-waits-a-month-to-start-selling-xp-boosters-for-assassins-creed-valhalla/>

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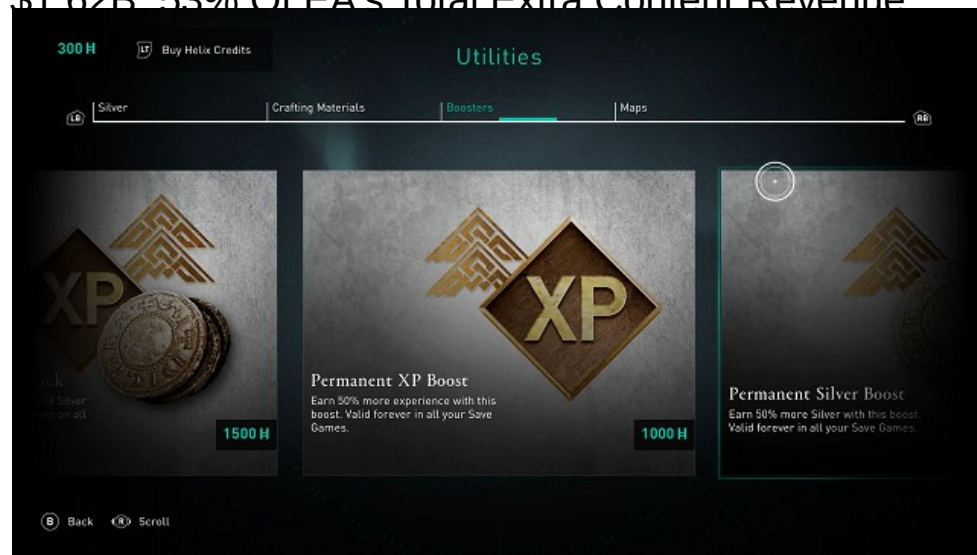
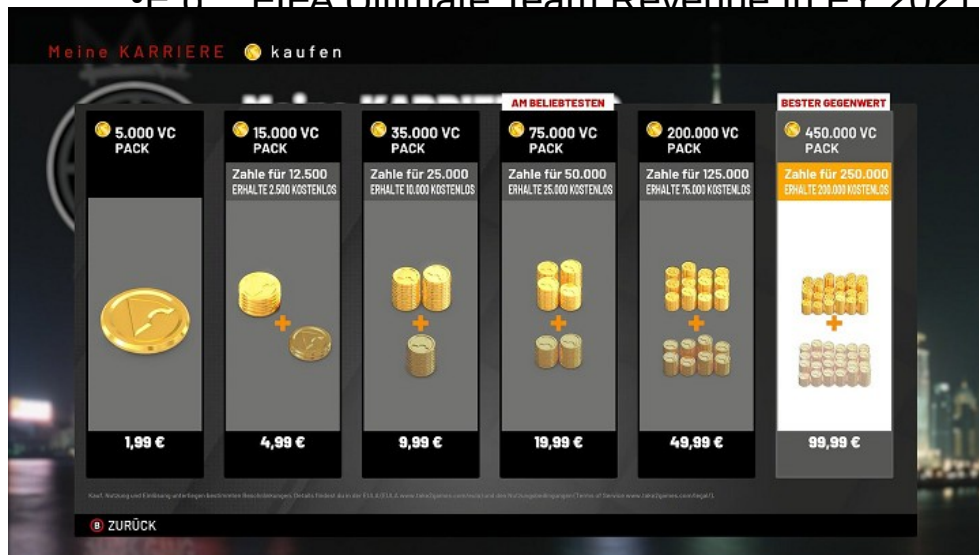


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Free To Play (aka F2P) (2/2)



- Controversy
 - At the s
 - US\$ before)
- E.g.: “EIEA Ulti



2004
Go into store
to find game

2024
Go into game
to find store

0 US\$ (instead of 60

Extra Content Revenue”

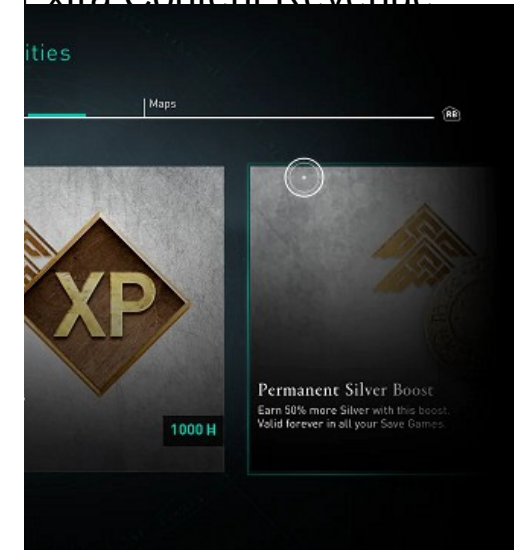


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F2P Monetization Tricks (1/2)



- Coercive Monetization
 - “Trick” a person into making a purchase with incomplete information
 - “Fun pain”: applying additional stress → short term “pain relief”
- Premium Currencies
 - Intermediate currency, additional intermediary objects, etc.
 - “One button conversion” is ideal (with credit card for layering effect)
 - Allows the use of discounting (“save money” by buying more)
- Skill Games vs. Money Games
 - Disguise your money game as a skill game: The game's difficulty ramps up massively, shifting it from a skill game to a money game.
- Reward Removal
 - Giving the player some really huge reward, that makes them really happy, and then threatening to take it away if they do not spend.
 - E.g. Players can only keep their loot if they defeat the dungeon boss.

F2P Monetization Tricks (2/2)



- Progress Gates
 - Players need to spend money if they want to go further in the game.
 - Progress gates can be “hard” or “soft”
 - A “hard” gate is one where you cannot advance if you do not pay up.
 - A “soft” gate is one where the player can get past the gate, eventually.
- Soft and Hard Boosts
 - “Soft” boosts have an instant one-time effect.
 - “Hard” boosts stick around either forever or until they are converted to something else.
- Ante Games (aka “Pay to Win”)
 - These games start off with the appearance of a skill game.
 - At some point players keep raising their antes, hoping that the others will fold.
- Loot Boxes
 - Endless spending opportunity with no guaranteed outcome.
 - Exploit peoples' gambling habits (thus now regulated in certain countries).

Example Lootboxes



 **Start:** 2025-05-16 at 08:30:00 (UTC) / **End:** 2025-05-30 at 08:30:00 (UTC).

Raumfalte Proto: Possible Cargo

- (20%) Another Raumfalte
- (100%) One of the following:
 - 50,000 , 100,000 , or 250,000 
 - 1 Universal Booklet, 1 Universal Guide, or 1 Universal Manual
- (100%) 1 Personal Reserve (+50% to XP or +50% to credits or +200% to Crew and Free XP for 1 h)
- (50%) 1, 3, or 7 Days of WoT Premium Account
- (2%) A Tier VIII or IX Premium vehicle:
 - **NEW**  Kpz. 3 GST Turm
 - **NEW**  VCS 6X6 TS 90
 - **NEW**  CC-46 Pancernik
 -  **VIII**  AMBT
 -  **VIII**  SDP wz 66 Grom
 -  **VIII**  Jagdtiger Prototype
 -  **VIII**  T-44-100
 -  **VIII**  AAT60
 -  **VIII**  EMIL 1951
 -  **VIII**  T77





 Every 50th Raumfalte Proto opening is a guaranteed Premium vehicle drop; the counter is reset any time a vehicle drops.

 hone  13 May, 2025 @ 7:46pm 

New lootbox system is trash!

Seems like regular lootboxes EVERY MONTH with trash value isn't enough. Next iteration of lootboxes will introduce tier-1-2-3 box, where you can get a premium tier 10 if you spend ~\$1000. WG has become extremely greedy with monetization regard, we must not make that system make into the game. Speak openly and loudly if you don't want to be robbed! Do not buy new and any other lootboxes, because by doing that you are showing that you support this type of monetization. Write another post on this board, a negative review on the game, and, most importantly, avoid spending any money on the game for now.

<https://worldoftanks.com/en/news/specials/raumfalte-last-stand-2025-bundles/>

Showing 1-15 of 62 comments

 1 2 3 4 5 

 CzechTower  [developer] 13 May, 2025 @ 7:50pm 

Hey Hone,
Appreciate you raising your concerns—monetization is always a hot topic, and it's good to see players engaged. The tiered lootbox system you're referencing is part of a time-limited event with optional participation. No core gameplay is locked behind it, and the value is subjective—some players go for it, some don't, and that's okay.

Those that go for it, can get more or less lucky, just like in the game with RNG. You get to pickup your free 10 Raumfalte in the game by completing the Last Stand mode and by playing random battles. Maybe luck will strike you!

That said, I hear you. Feedback like this does get reviewed, and expressing it constructively (like here) is far more impactful than blanket negativity.

#1

Image sources: <https://worldoftanks.com/en/news/specials/raumfalte-last-stand-2025-bundles/>, <https://steamcommunity.com/app/1407200/discussions/0/591771170072750511/>

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Example Lootboxes



WHAT IS THE CS2 X-RAY SCANNER?

The CS2 X-Ray Scanner is a special case-opening system introduced by Valve in countries with strict gambling laws, such as Germany and France.

Instead of opening a case and receiving a random item instantly, the X-Ray Scanner allows players to:

- See the exact skin inside the case before paying to unlock it
- Decide whether to purchase it
- Be required to claim it before scanning another case

This system was first introduced in CS:GO for France and later expanded. Now, in Counter-Strike 2 (CS2), Germany also uses the X-Ray Scanner system.

Important: This system does not change drop rates. It only changes how results are revealed.

WHY DID VALVE INTRODUCE THE CS2 X-RAY SCANNER?

The reason is legal compliance. In some European countries, loot boxes are considered a form of gambling because:

- Players spend real money
- The reward is random
- The value of the reward varies

To avoid violating gambling laws, Valve modified the case system. By allowing players to see the item before purchasing, the transaction is no longer considered a traditional random gamble.

Early Access (EA), aka In Development



- Principle of Early Access / Alphafunding / Paid-Alpha
 - Consumers pay for a game in the early stages of development and obtain a playable but unfinished version
 - The developer continues to work on the game and the customers may get involved in the process
 - A common way to obtain funding for indie games
- Controversy and problems
 - Customers are used as paying alpha- or beta-testers
 - Many customers don't understand EA and have false expectations
 - There is no guarantee that the game will ever be finished
 - EA games are practically unreviewable
- Examples
 - Minecraft is one of the earliest known examples (2009)
 - Ark: Survival Evolved is the first EA game to offer paid DLC
 - Subnautica Early Access Dec 2014 – Jan 2018
 - Also..
 - ...Slay The Spire, Darkest Dungeon, Dead Cells, and so on...

Early Access Game

Get instant access and start playing; get involved with this game as it develops.

THIS GAME IS CURRENTLY IN DEVELOPMENT



Image sources: <http://store.steampowered.com>, <https://www.gog.com>

Crowdfunding



- Describes the collective effort of individuals who network and pool their resources, usually via the Internet, to support efforts initiated by other people or organizations.
- Great opportunity to raise funds for (small) indie-developers
- But also utilized by (big) publishers
 - Shenmue 3, Kingdom Come: Deliverance
- Crowdfunding can also be utilized as a form of market research
- Small presents or prices for backers
 - Free copy of the game, soundtrack, become an in-game character, physical goodies, ...
- Often multiple tiers of features for higher amounts of money raised
 - E.g. Multiplayer mode, full voice acting, localization, ...

How to launch a successful Kickstarter campaign?

<https://www.youtube.com/watch?v=xkH5NemDPSY>



Resources



- http://en.wikipedia.org/wiki/Downloadable_content
- http://en.wikipedia.org/wiki/Subscription_business_model
- <http://en.wikipedia.org/wiki/Free-to-play>
- <http://en.wikipedia.org/wiki/Pre-order>
- http://en.wikipedia.org/wiki/Crowd_funding
- http://en.wikipedia.org/wiki/Early_access
- http://www.gamasutra.com/blogs/RaminShokrizade/20130626/194933/The_Top_F2P_Monetization_Tricks.php
- <http://www.usgamer.net/articles/the-early-access-revolution>
- <http://www.polygon.com/2016/9/2/12776612/ark-survival-evolved-early-access-paid-dlc>